MBA 203: Intro to Finance
Fall B 2025
Haas School of Business University of California, Berkeley

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Class time and Location

Lectures will be on Wednesdays 6:00pm-9:30pm (section 01) and Thursdays 6:00pm-9:30pm (section 02) in N370 with a dinner break 7:30-8:15 PM. There will be a combined class in N100 on Monday 3/23 for both sections due to the spring break

Course Overview

This is an introductory course in finance. Students learn how to value assets given forecasts of future cash flows. The course also concentrates on the risk characteristics of different asset classes. The first part of the course focuses on the decision rules under certainty and discusses various financial instruments. The second part of the course introduces students to valuation. The third part of the course deals with measuring and pricing risk. The final part of the course deals with financing decisions. The course will combine the theoretical underpinnings of finance with real world applications. Overall, by the end of this course, you will have a strong understanding of the way that finance professionals think about decisions, capital markets and investments.

Course Resources

We will use *bCourses* for circulating slides, case studies, and other materials. These materials are intellectual property of the Haas School of Business so please do not repost. Some case studies will be available on study.net

Required textbook is Corporate Finance, by Jonathan Berk and Peter DeMarzo, 6th Edition.

Grades

Your overall course grade will be based on:

Component	Percent of Grade
Group cases	15%
Homework assignments	15%
Participation	20%
Final Exam	50%

Group Cases

We will cover 6 cases and you need to submit reports for 3 cases of your choice. The cases are 1) DeltaTech, 2) IntelliDrive, 3) PulseLogic, 4) Interco, 5) Twitter and 6) Ameritrade. The first 3 cases are short and analytical. They are provided as PDF files on bCourses. The rest of the cases are available on bCourses via a link to Study.net. They are longer and more complex, asking you to think about strategic as well as financial issues.

Cases should be solved in groups. You have been automatically assigned to a group on bCourses. You are expected to read each case before class and come prepared to discuss it. I will ask students to suggest responses to the questions in each class. I will also offer my perspectives on case questions.

Your case submission should include answers to the questions listed in the detailed assignment sheets on bCourses. The reports should be composed of approximately 10 powerpoint slides (excluding appendix slides with backup information) and an accompanying excel file that was used to support calculations. You are not expected to get all the questions correct, but you should make a reasonable attempt at each one so that you are prepared to actively discuss answers to the case questions in class. The submissions of the 3 reports are due by the end of the week after they are discussed in class.

Homework Assignments

Homework assignments will be provided via the course website. There is no limit as to how much time you are allowed to spend on each assignment, nor how many times you can attempt it. The objective of these assignments is not for me to assess your knowledge, but to help you improve your understanding of the concepts. Each person should do the problems using their own account. You may help each other, but make sure everyone gets good practice. Each of you has to log in and work through the problems online. Do not hesitate to reach out for help if you are struggling!

If you want additional problems to practice, you can find the end-of-chapter problems suggested in the outline below. You can also take advantage of the MyLabFinance software available from the textbook publisher at a fee. These problems will not earn you credit but are a good way to prepare for the final exam.

Participation

Class discussion is a vital part of the course. Do not hesitate to raise questions if you are confused. This creates positive spillovers for everyone else. Be prepared to contribute to the class discussion of course material, case analysis, and topic applications. It is expected that all students will attend all classes. I will use iClicker for grading purposes. Attending each class will earn 50% of the participation grade. The remaining 50% will depend on your responses to the in-class surveys.

Final Exam

There is one in-class final exam 6pm-8:00pm on Wednesday, May 20 in N100. The final exam is an individual exam (no help from anyone or any online source).

You will be able to consult a two-page formula sheet during the exam but no other resources (i.e. cellphone, textbook, handouts, and your own notes). You will record your answers on the paper examination or on an Excel spreadsheet. An Excel template will be provided and will need to be uploaded on bCourses.

Laptop/Microsoft Excel/Calculator

Access to a computer with Microsoft Excel (or comparable spreadsheet program) is necessary to complete cases and homework assignments. Chapters 4 and 5 in the textbook contain an introduction to some of the key financial functions in Excel.

Any calculator that can calculate an IRR (internal rate of return) is sufficient for this class, but I recommend a HP 12C financial calculator (or an app that replicates it on your phone), which has several other financial functions.

Readings

You are expected to do the assigned readings before each class. Time does not allow all topics to be covered in detail in the classroom. Therefore, the readings are necessary. You are responsible for all material covered in assigned readings, whether or not we have time to cover it in class. Reading ahead is expected as it will aid your understanding of the material presented in class. Re-reading after class is encouraged as it will help solidify the concepts just presented.

Class Etiquette and Email Policy

Students are expected to respect the UC Berkeley Haas Honor Code and to behave with integrity in all aspects of the course.

I will try to respond to emails within two working days. We cannot guarantee a timely response to students who email us less than two working days before a deadline. You should also feel free to use the Discussions feature on bCourses to discuss course material or logistics with each other or with us.

Artificial intelligence

Artificial intelligence (AI) is an important tool in the modern economy, and students are expected to be proficient in it in today's workplace. You may use AI to aid in reviewing the course material and to facilitate your understanding of the course's key concepts. Even when using AI, students are still responsible for ensuring the accuracy, originality, and integrity of their submitted work. For certain assignments (e.g., in-class exams), the use of AI tools may be strictly prohibited.

Course Schedule

Below is an outline of the material we will cover in this course. All sections and chapters refer to the textbook by Berk and DeMarzo. Some topics may run over to the next lecture.

#	Date[1]	Topic	Chapter	Optional Practice Problems	Cases	Homework Assignment
1	3/18-19	Introduction and Time Value of Money	4	5,6,7,8,13, 16,17,21,26,34		
2	3/23	Free Cash Flow and Capital Budgeting	8	9,10,14,18,24	DeltaTech	
3	4/1-2	Investment Decision Rules	7	2,3,4,7,8,9,10, 19,31	IntelliDrive	
4	4/8-9	Bonds and Interest Rates	5-6	Ch5: 6,8,9,20,22 Ch 6: 2,6,10,17,20	PulseLogic	1
5	4/15-16	Valuing Stocks - DCF	8	2,4,6,8,10,12, 13,17	Interco	2
6	4/22-23	Valuing Stocks – relative	9	1-15,17	Twitter	3
7	4/29-30	Statistics Review and Optimal Portfolio Selection	11	1,2,9,10,21,22,23, 24,25,31,34,35, 38,45,46,47,48,50		
8	5/6-7	Estimating the Cost of Capital	12	1,2,3,6	Ameritrade	4
9	5/13-14	Capital Structure	14-15	Ch 14: 4,6,8,13,15 Ch 15:3,6,8,14,18		5
10	5/20	Final Exam				

(1) Dates are for Wednesday - Thursday sections. There will be a combined class on 3/23 for both sections due to the spring break. The final exam will be for both sections at the same time on 5/20.